

Introduction to Organization and Management

Objectives:

1. Explain what management is
2. List principles in organization and management
3. Show principles of organization as applied in real world setting

Definition of Management

“Management is the process of designing and maintaining of an environment in which individuals working together in groups efficiently accomplish selected aims”. (Koontz and Weihrich)

“Management is the art of knowing what you want to do and then seeing that it is done in the best and cheapest way.” (F.W.Taylor)

Is management a science or an art?

The following characteristics are essential for a subject to be recognized as a science.

- The existence of a systematic body of knowledge with array of principles.
- Based on scientific enquiry.
- Principle should be verifiable.
- Reliable basis for predicting future events.

Management as a discipline fulfills the science criterion

In the case of management it is an inexact science.
Management is inexact science because

- Every organizations human resources are different attitudes, aspirations and perceptions. So standard results may not be obtained.
- Readymade and standard solutions cannot be obtained.
- Management is complex and unpredictable.
- Every organization decisions are influenced by the environment.

The environment is so complexes and unexpected changes

Art means application of skill in finding a desired result. Art is the way of doing things skillfully.

Management is an art because of the following facts.

- Management process involves the use of practical knowledge and personal skills.
- Management is creative.
- Application of practical knowledge and certain skills helps to achieve concrete results.

Management is a science because it contains general principles.

It is also an art because it requires certain personal skills to achieve desired results.

Management cannot be called a profession

- Unlike medicine or law, Management does not have any fixed norms of managerial behaviour.
- There is no uniform code of conduct or licensing of managers.
- The entry to managerial jobs is not restricted to individuals with a special academic degree only.

Management and Administration are used interchangeably.

There is a lot of controversy on the use of these two terms

1st view

Administration is concerned with decision - making and policy formulation,

while management is concerned with the execution of what has been laid down by the administrators

(Oliver Shelton, Milward, Lansberg)

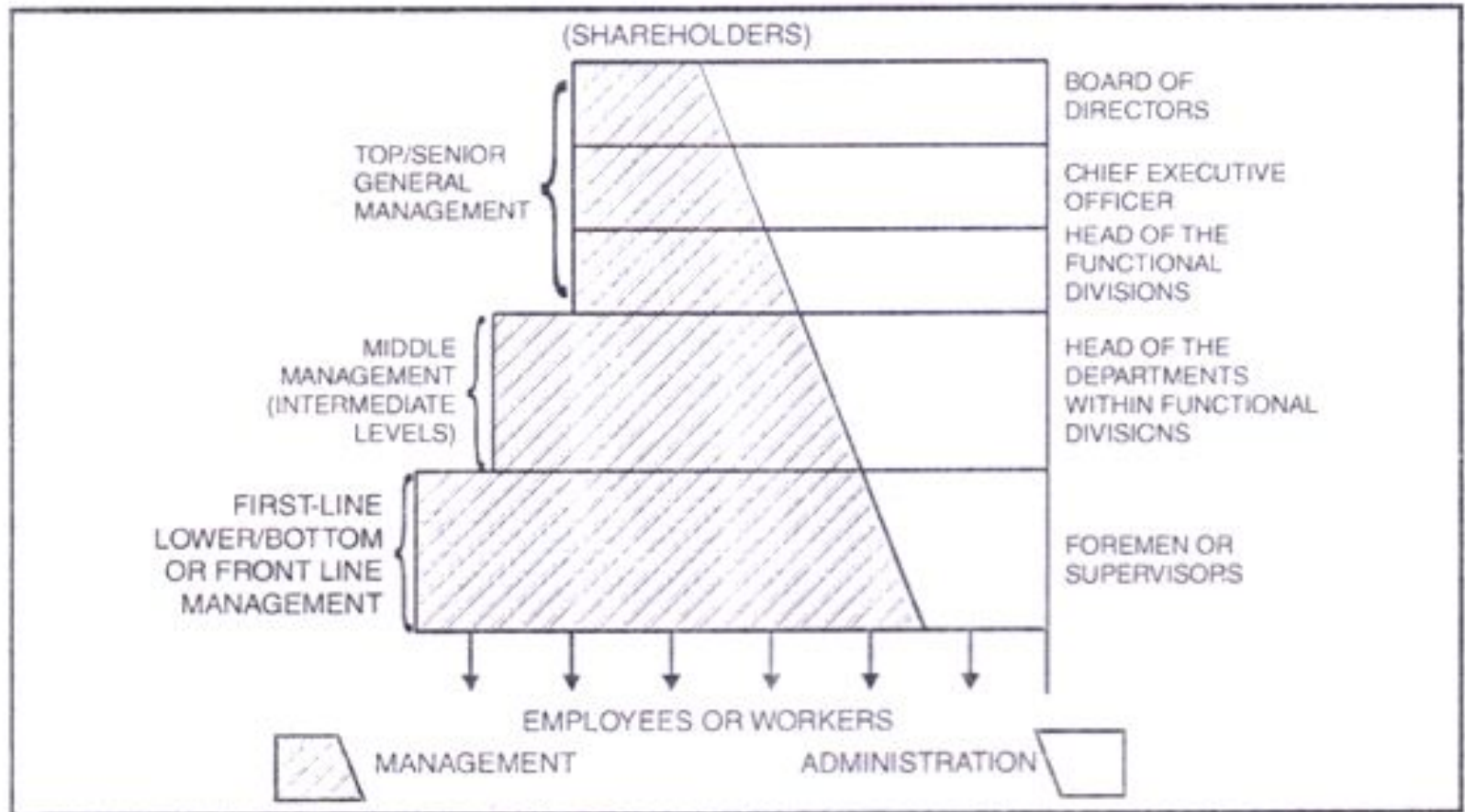


Fig. 1.2 Showing difference between management and administration

2nd view

Administration is a part of management.

Administration is the part of management which is concerned with the installation and carrying out of the procedure by which the programme is laid down and communicated and the progress of activities is resulted and checked against plans.

3rd view

Administration and management are the same

Principles in Management

Division of Work

- The specialization of the workforce according to the skills a person, creating specific personal and professional development within the labor force and therefore increasing productivity;
- leads to specialization which increases the efficiency of labour. By separating a small part of work, the workers speed and accuracy in its performance increases.
- This principle is applicable to both technical as well as managerial work.

Authority and Responsibility

- Authority means the right of a superior to give order to his subordinates;
- Responsibility means obligation for performance.
- This principle suggests that there must be parity between authority and responsibility. They are co-existent and go together, and are two sides of the same coin.

Unity of Command

- This principle states that every subordinate should receive orders and be accountable to one and only one superior.
- If an employee receives orders from more than one superior, it is likely to create confusion and conflict.
- Unity of Command also makes it easier to fix responsibility for mistakes

Unity of Direction

- All those working in the same line of activity must understand and pursue the same objectives.
- All related activities should be put under one group, there should be one plan of action for them, and they should be under the control of one manager.

Subordination of Individual Interest

- The management must put aside personal considerations and put company objectives first.
- Therefore the interests of goals of the organization must prevail over the personal interests of individuals.

Remuneration

- Workers must be paid sufficiently as this is a chief motivation of employees and therefore greatly influences productivity.
- The quantum and methods of remuneration payable should be fair, reasonable and rewarding of effort

The Degree of Centralization

- The amount of power wielded with the central management depends on company size.
- Centralization implies the concentration of decision making authority at the top management.
- Sharing of authority with lower levels is called decentralization.
- The organization should strive to achieve a proper balance.

Scalar Chain

- Scalar Chain refers to the chain of superiors ranging from top management to the lowest rank.
- The principle suggests that there should be a clear line of authority from top to bottom linking all managers at all levels. It is considered a chain of command.

Order

- Social order ensures the fluid operation of a company through authoritative procedure.
- Material order ensures safety and efficiency in the workplace.

Equity

- Employees must be treated kindly, and justice must be enacted to ensure a just workplace.
- Managers should be fair and impartial when dealing with employees

Stability of Tenure of Personnel

- The period of service should not be too short and employees should not be moved from positions frequently.
- An employee cannot render useful service if he is removed before he becomes accustomed to the work assigned to him.

Initiative

- Using the initiative of employees can add strength and new ideas to an organization.
- Initiative on the part of employees is a source of strength for the organization because it provides new and better ideas.
- Employees are likely to take greater interest in the functioning of the organization.

Esprit de Corps

- This refers to the need of managers to ensure and develop morale in the workplace; individually and communally.
- Team spirit helps develop an atmosphere of mutual trust and understanding.
- These can be used to initiate and aid the processes of change, organization, decision making, skill management and the overall view of the management function

Principles in Organization

Principle of unity of objectives:

- Organizational goals, departmental goals, and individual goals must be clearly defined.
- All goals and objectives must have uniformity.
- When there is contradiction among different level of goals desired goals can't be achieved. Therefore, unity of objectives is necessary

Principle of specialization

- The term specialization is related to work and employees.
- When an employee takes special type of knowledge and skill in any area, it is known as specialization.
- Modern business organization needs the specialization, skill and knowledge by this desired sector of economy and thus, efficiency would be established.

Principle of coordination:

In an organization many equipment, tools are used. Coordination can be obtained by group effort that emphasize on unity of action.

Principle of authority:

- Authority is right and power through which it guides and directs the actions of others so that the organizational goals can be achieved.
- It is also related with decision making. It is vested in particular position, not to the person because authority is given by an institution and therefore it is legal.
- It generally flows from higher level to lowest level of management. There should be unbroken line of authority.

Principle of responsibility:

- The obligation to perform the duties and task is known as responsibility. Responsibility can't be delegated. It can't be avoided

Principle of delegation:

- Process of transferring authority and creation of responsibility between superior and subordinates to accomplish a certain task is called delegation of authority.
- Authority is only delegated, not responsibilities in all levels of management.
- The authority delegated should be equal to responsibility

Principle of unity of command

- Subordinates should receive orders from single superior at a time and all subordinates should be accountable to that superior.
- More superior leads to confusion, delay and so on.

Principle of efficiency

The organization should be able to achieve enterprise objectives at a minimum cost.

Principle of span of control:

Unlimited subordinates cant be supervised by manager, this principle thus helps to determine numerical limit if subordinates to be supervised by a manager. This improves efficiency.

Principle of balance

Authority, centralization, decentralization must be balance equally.

Principle of communication

- Communication is the process of transformation of information from one person to another of different levels.
- It involves the systematic and continuous process of telling, listening and understanding opinions ideas, feelings, information, views etc, in flow of information.

Principle of personal ability

- Employees must be capable. Able employees can perform higher.
- Mainly training and development programs must be encouraged to develop the skill in the employees

Principle of flexibility

Organizational structure must be flexible considering the environmental dynamism.

Sometimes, dramatically change may occur in the organization and in that condition, organization should be ready to accept the change

Principle of simplicity

This principle emphasizes the simplicity of organizational structure, the structure of organization should be simple with minimum number of levels - its members can understand duties and authorities.

According to Steve Jobs, "Simple can be harder than complex: You have to work hard to get your thinking clean to make it simple."